STATE OF VERMONT
EXECUTIVE DEPARTMENT

EXECUTIVE ORDER NO. 04-26

[Establishing the Vermont AI Economic Taskforce]

WHEREAS, artificial intelligence (AI) is rapidly reshaping the American economy, with employers of all sizes, across every industry, deploying AI tools to automate tasks previously performed by knowledge workers, service workers, and skilled professionals, and the pace of adoption is accelerating every day; and

WHEREAS, Vermont's core employment sectors – including agriculture, healthcare, insurance, manufacturing, tourism, government, and energy – are all exposed to AI-driven change that will affect hiring, investment, competitiveness, and the requirements for jobs; and

WHEREAS, Vermont's current labor market is unlikely to face mass unemployment from AI, but if no preparations are made, it could confront a serious risk of a skills mismatch where available workers lack the capabilities employers need to fit into AI-augmented roles; and

WHEREAS, Vermont's efforts to restore economic equity to all counties, repair weakening demographics, reverse the growing crisis of affordability, expand housing, and strengthen its workforce and job creation potential will have the most positive benefits if Vermont has a clear, sector-by-sector understanding of the skills, jobs, and policies its economy will need to compete and win in an AI-transformed landscape; and

WHEREAS, Vermont was among the first in the nation to establish a state AI director and a state AI council, the existing Council on Artificial Intelligence ("AI Council"), established by Act 132 of 2022, establishing the state as an early and responsible actor in AI governance; and

WHEREAS, multiple Vermont institutions are engaging with AI, including the Agency of Digital Services, the Agency of Commerce and Community Development, the State Workforce Development Board, the State University, the University of Vermont, Office of the Attorney General, and the Legislature, but no single entity currently has the mandate, membership, or structure to conduct a coordinated, sector-by-sector economic assessment and translate it into specific workforce, investment, and policy recommendations; and

WHEREAS, at least 27 states have AI-focused bodies to improve job creation, enhance their economic competitiveness, and address broader impacts, including regional neighbors such as Maine, Massachusetts and New Jersey; and

WHEREAS, my cornerstone governance principles and top strategic goals of growing the economy; making Vermont more affordable; and protecting our most vulnerable, are best advanced by a structured effort to prepare Vermont's economy to grow and working families to succeed in an era of AI-driven change; and

WHEREAS, Vermont's history of coordinated responses to the COVID-19 pandemic, the floods of 2023 and 2024, and prior emergencies, demonstrates the state's small scale, strong institutional networks, and traditions of pragmatic collaboration can allow it to be more innovative, nimble and effective than states many times its size.

NOW, THEREFORE, I, Philip B. Scott, Governor of the State of Vermont, by virtue of the authority vested in me by the Vermont Constitution, Chapter II, Sections 3 and 20, do hereby order as follows:

1. There is hereby established the Vermont AI Economic Taskforce (the "Taskforce"). The Taskforce shall work to identify Vermont's most economically beneficial AI opportunities, understand what it will take to maximize these opportunities, and identify and analyze key economic impact indicators. In this work the Taskforce shall assess the impact of artificial intelligence on Vermont's economy sector by sector, economic risks and opportunities, and recommend to the Governor actions, policies, investments and legislation. The Taskforce shall be advisory to the Governor.

2. The Taskforce's work shall be guided by the principle that Vermont must determine how to harness AI to strengthen its economy and help Vermont's communities and working families thrive.

3. The Taskforce shall consist of up to 18 members appointed by the Governor, including:

a) Representatives from key economic sectors, including agriculture, education, energy, healthcare, insurance, manufacturing, technology, and tourism; and Vermonters representing the private sector workforce, small businesses, county economic centers outside of northwestern Vermont, and rural Vermont, one of whom shall be designated by the Governor as Chair.

b) The Secretary of the Agency of Digital Services.

c) The Secretary of Commerce and Community Development.

d) The Chief Data and AI Officer from the Agency of Digital Services, serving ex officio and as liaison to the legislatively established AI Council.

4. The Chair shall set direction in accordance with this Executive Order; convene Taskforce meetings; brief the Governor quarterly on progress; deliver annual reports on or before January 1, 2027 and January 1, 2028; and provide advice as requested by the Governor.

5. The Taskforce will operationalize its responsibilities through three working groups, each chaired by a Taskforce member with relevant expertise and supported by additional appointees:

a) *Economic Acceleration*: Build the Vermont AI readiness framework with key considerations for preparing Vermont's workforce and identify Vermont's high value and high return AI opportunities and low- or no- cost ways state government can help to capture these opportunities to accelerate economic growth in ways that grow the economy and expand the working class, particularly in communities most adversely impacted by shifting demographics.

b) *Small Business Competitiveness*: Help Vermont's small employers adopt AI and grow their business and strengthen the local economy.

c) *Community Resilience*: Assess how AI-driven economic shifts affect Vermont communities and develop a community toolkit.

6. Following delivery of the AI readiness framework, the Taskforce may recommend economic sectors for further and more detailed assessment. These working groups shall use a structured sector assessment template to be approved by the Chair; report through the same governance structure as the initial working groups; and may be staffed by existing members, new volunteers, and interns, approved by the Governor.

7. To improve awareness of the State's current AI adoption projects, and to support demonstrating the practical value of the technology, within the first 90 days of this order the Chair shall, in collaboration with the Secretary of the Agency of Digital Services;

a) Identify up to five priority opportunities where AI can help State employees deliver better outcomes for Vermonters, informed by ongoing AI adoption projects inside state government, such as permitting automation, digital service delivery, rural healthcare delivery, and constituent/customer service satisfaction measurements. The Chair shall recommend these opportunities based on their impact on the Administration's top priorities, overall value to Vermonters, and the likelihood that the tools can be realistically implemented in calendar year 2026; and

b) Design and deliver an education program for State agency leaders on the practical application of AI to improve outcomes for Vermonters and to support State employees in their work.

8. The Taskforce shall complement, not duplicate, the existing AI Council. The Chief Data and AI Officer shall serve as liaison between the two bodies. The Taskforce shall coordinate with the Agency of Commerce and Community Development, the Department of Labor, the State Workforce Development Board, and institutions of higher education to ensure alignment with existing economic development and workforce initiatives.

a) The Taskforce shall work with the existing AI Council, the Agency of Digital Services, and the Agency of Commerce and Community Development to further develop the concept of a Rural AI Collaboration Hub to support Vermont business' adoption of AI. Emphasis of the Taskforce shall be on ensuring any such effort prioritizes counties that experienced the largest contraction in working age population and private sector workforce in the preceding 30 years.

b) The Taskforce shall develop a Vermont Strategic Opportunity Portfolio identifying the state's highest-return AI opportunities, with the partnerships and policies required to capture each. The Rural AI Collaboration Hub described in subsection (a) is the first entry in this Portfolio. The Portfolio shall prioritize opportunities that support economic growth, job creation, and the upward economic mobility of working families in counties that have experienced the most adverse demographic, economic, and affordability trends.

10. The Taskforce shall engage Vermont's institutional partners, economic development agencies, community organizations, small and independent businesses, and regional planning commissions for assistance on the sector analysis and create opportunities for public input. Special emphasis shall be placed on regions of Vermont with the most adverse demographic and economic indicators.

11. The Taskforce and its work groups may use AI tools in their research and analysis, provided such use is disclosed and in accordance with the Code of Ethics and AI Inventory.

12. The Agency of Digital Services, the Agency of Commerce and Community Development, the Office of the Governor, and the Chair shall collaborate on staff support for the Taskforce and its working groups. The Secretaries shall assign a designated liaison to the Chair who will facilitate data access, coordinate with agency staff, and attend meetings as needed.

13. The Chair shall update the Governor quarterly or upon request, and brief relevant members of the General Assembly as approved or directed by the Governor. Annual reports from the Chair may include a recommendation on whether the Taskforce's mandate should be continued or modified.

14. This Executive Order shall take effect upon signing and shall continue in full force and effect for two years unless extended, modified, or rescinded by the Governor.

IN WITNESS WHEREOF, I have hereunto set my hand and caused the Great Seal of the State of Vermont to be affixed at Montpelier this 18th day of May, 2026.

Philip B. Scott
Governor

By the Governor:

Jaye Pershing Johnson
Secretary of Civil and Military Affairs

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